

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 4003

By: Caldwell (Trey)

COMMITTEE SUBSTITUTE

An Act relating to the Tobacco Settlement Endowment Trust; creating the Funding the Future of Oklahoma - TSET Modernization Act; amending 62 O.S. 2021, Section 2302, which relates to the purpose of the Tobacco Settlement Endowment Trust; eliminating reference to the Tobacco Settlement Endowment Trust Board of Directors; expanding duties of the Tobacco Settlement Endowment Trust Board of Investors; amending 62 O.S. 2021, Section 2304, which relates to the Appointments of the Board of Investors and Directors of the Tobacco Settlement Endowment Trust Fund; eliminating reference and appointment process of the Board of Directors; amending 62 O.S. 2021, Section 2306, which relates to the duties of the Board of Investors of the Tobacco Settlement Endowment Trust; limiting investment in certain asset type; eliminating certain duties; amending 62 O.S. 2021, Section 2307, which relates to determination of earnings of the Tobacco Settlement Endowment Trust; eliminating certain consideration; creating the TSET Legacy Effort Revolving Fund; placing the Fund under the State Department of Health; establishing revolving fund characteristics; requiring and limiting expenditure for certain purpose; providing expenditure and budgeting procedures; providing for Legacy Effort Grants; establishing eligibility; exempting awards from the Oklahoma Central Purchasing Act; requiring the development and implementation of certain processes; providing for confidential treatment of applications and proposals during certain periods; establishing applicability of the Oklahoma Open Records Act and the Oklahoma Open Meetings Act under certain conditions; limiting total

1 amount of awards; authorizing the promulgation of
2 rules; repealing 62 O.S. 2021, Sections 2308, 2309,
3 and 2310, which relate to the Board of Directors of
4 the Tobacco Settlement Endowment Trust and the
5 Board's powers and budget; providing for
6 noncodification; providing for codification; and
7 providing a conditional effective date.

8 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

9 SECTION 1. NEW LAW A new section of law not to be
10 codified in the Oklahoma Statutes reads as follows:

11 This act shall be known and may be cited as the "Funding the
12 Future of Oklahoma - TSET Modernization Act".

13 SECTION 2. AMENDATORY 62 O.S. 2021, Section 2302, is
14 amended to read as follows:

15 Section 2302. The purpose of the Tobacco Settlement Endowment
16 Trust Fund Act is to further implement the provisions of Section 40
17 of Article X of the Oklahoma Constitution that:

18 1. Created the Tobacco Settlement Endowment Trust Fund, and the
19 Board of Investors of the Tobacco Settlement Endowment Trust Fund,
20 ~~and the Board of Directors of the Tobacco Settlement Endowment Trust~~
21 ~~Fund;~~

22 2. Directs the apportionment of revenues from settlements with
23 or judgments against tobacco companies between the Tobacco
24 Settlement Endowment Trust Fund and a special fund established for

1 the purpose of receiving tobacco settlement payments not deposited
2 to the trust fund; and

3 3. Authorizes the Board of ~~Directors~~ Investors of the Tobacco
4 Settlement Endowment Trust Fund to ~~expend~~ administer and transfer
5 trust fund earnings for specific purposes.

6 SECTION 3. AMENDATORY 62 O.S. 2021, Section 2304, is
7 amended to read as follows:

8 Section 2304. ~~A.~~ Appointments to the Board of Investors of the
9 Tobacco Settlement Endowment Trust Fund shall be staggered as
10 provided in this section, pursuant to the provisions of Section 40
11 of Article X of the Oklahoma Constitution. The initial staggered
12 terms of office of persons appointed prior to April 10, 2001, or
13 persons appointed to fill the remainder of an initial term of office
14 shall be as follows:

15 1. The term of office of the person appointed by the Speaker of
16 the House of Representatives shall expire June 30, 2001;

17 2. The term of office of the person appointed by the President
18 Pro Tempore of the Senate shall expire June 30, 2002;

19 3. The term of office of the person appointed by the Governor
20 shall expire June 30, 2003; and

21 4. The term of office of the person appointed by the State
22 Auditor and Inspector shall expire June 30, 2004.
23
24

1 Thereafter, persons shall be appointed for terms of four (4)
2 years beginning July 1. Any vacancy shall be filled by the
3 appointing authority for the remainder of the unexpired term.

4 ~~B. Appointments to the Board of Directors of the Tobacco~~
5 ~~Settlement Endowment Trust Fund shall be staggered as provided in~~
6 ~~this section, pursuant to the provisions of Section 40 of Article X~~
7 ~~of the Oklahoma Constitution. The initial staggered terms of office~~
8 ~~of persons appointed prior to April 10, 2001, or persons appointed~~
9 ~~to fill the remainder of an initial term of office shall be as~~
10 ~~follows:~~

11 ~~1. The term of office of the person appointed by the Speaker of~~
12 ~~the House of Representatives shall expire June 30, 2001;~~

13 ~~2. The term of office of the person appointed by the President~~
14 ~~Pro Tempore of the Senate shall expire June 30, 2002;~~

15 ~~3. The term of office of the person appointed by the Governor~~
16 ~~shall expire June 30, 2003;~~

17 ~~4. The term of office of the person appointed by the Attorney~~
18 ~~General shall expire June 30, 2004;~~

19 ~~5. The term of office of the person appointed by the State~~
20 ~~Treasurer shall expire June 30, 2005;~~

21 ~~6. The term of office of the person appointed by the State~~
22 ~~Auditor and Inspector shall expire June 30, 2006; and~~

23 ~~7. The term of office of the person appointed by the State~~
24 ~~Superintendent of Public Instruction shall expire June 30, 2007.~~

1 ~~Thereafter, persons shall be appointed for terms of seven (7)~~
2 ~~years beginning July 1. Any vacancy shall be filled by the~~
3 ~~appointing authority for the remainder of the unexpired term.~~

4 SECTION 4. AMENDATORY 62 O.S. 2021, Section 2306, is
5 amended to read as follows:

6 Section 2306. A. The Board of Investors of the Tobacco
7 Settlement Endowment Trust Fund shall discharge their duties as
8 trustees of the Tobacco Settlement Endowment Trust Fund:

9 1. With the care, skill, prudence, and diligence, under the
10 circumstances then prevailing, that a prudent person acting in a
11 like capacity and familiar with such matters would use in the
12 conduct of an enterprise of a like character and with like aims;

13 2. By diversifying the investments in the trust fund so as to
14 minimize the risk of large losses, unless, under the circumstances,
15 it is clearly prudent not to do so; and

16 3. In accordance with the laws, documents, and instruments
17 governing the trust fund.

18 B. The Board of Investors shall retain qualified investment
19 managers to provide for the investment of the monies of the trust
20 fund. The investment managers shall be chosen by a solicitation of
21 proposals on a competitive basis pursuant to standards set by the
22 Board of Investors. The investment managers shall manage those
23 monies of the trust fund allocated to the investment managers in
24 compliance with the overall investment guidelines set by the Board

1 of Investors. The monies of the trust fund allocated to the
2 investment managers shall be managed by the investment managers in
3 accordance with the investment guidelines and other directions of
4 the Board of Investors. The investment managers may sell
5 investments and realize losses if such action is considered
6 advantageous to longer-term return maximization. Because of the
7 total return objective, no distinction shall be made for management
8 and performance evaluation purposes between realized and unrealized
9 capital gains and losses. The Board of Investors may have the State
10 Treasurer manage those monies not specifically allocated to the
11 investment managers.

12 C. The trust fund may be invested in the manner in which a
13 prudent person would invest it and consistent with the manner that
14 state retirement funds are invested, provided that total investment
15 amounts directed toward venture capital opportunities shall not
16 aggregate to an amount greater than ten percent (10%) of the value
17 of the trust at the time of investment.

18 D. The Board of Investors shall select a custodial bank to
19 settle transactions involving the investment of funds in the trust
20 fund and to hold custody of the securities in the trust fund
21 portfolio. The custodian shall be a bank or trust company offering
22 pension fund master trustee and master custodial services. The
23 custodian shall be chosen by a solicitation of proposals on a
24 competitive basis pursuant to standards set by the Board of

1 Investors. The Board of Investors may also select professional
2 investment consultants, auditors, and actuaries to assist the Board
3 of Investors in carrying out its fiduciary responsibilities. All
4 these professionals shall be selected by a solicitation of proposals
5 on a competitive basis pursuant to standards set by the Board of
6 Investors.

7 E. The Board of Investors shall choose the professional
8 custodians and managers of the assets of the trust fund, shall
9 establish investment and fund management guidelines, and shall adopt
10 an investment policy. The selection of investment managers,
11 investment consultants, auditors, and actuaries, and a custodian
12 bank shall be exempt from the provisions of the Oklahoma Central
13 Purchasing Act.

14 ~~F. The Board of Investors shall set aside cash reserves from~~
15 ~~the earnings of the Tobacco Settlement Endowment Trust Fund if~~
16 ~~requested by the Board of Directors of the Tobacco Settlement~~
17 ~~Endowment Trust Fund pursuant to subsection B of Section 10 of this~~
18 ~~act.~~

19 ~~G.~~ The State Treasurer shall provide any necessary staff
20 support to the Board of Investors. The cost of up to two full-time-
21 equivalent employees for the Office of the State Treasurer may be
22 considered as an administrative expense of the trust fund. ~~However,~~
23 ~~the amount provided to the State Treasurer for this purpose shall be~~

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~~determined by the Board of Directors of the Tobacco Settlement
Endowment Trust Fund.~~

SECTION 5. AMENDATORY 62 O.S. 2021, Section 2307, is
amended to read as follows:

Section 2307. A. On or before September 1 of each year, the
Board of Investors of the Tobacco Settlement Endowment Trust Fund
shall determine the earnings of the trust fund for the previous
fiscal year ending June 30. In determining earnings, the Board of
Investors shall certify an amount which is prudent under the
standard set forth in paragraph C of this section. The earnings so
determined and certified by the Board of Investors for each fiscal
year shall constitute the earnings of the Tobacco Settlement
Endowment Trust Fund for the purposes of Section 40 of Article X of
the Oklahoma Constitution.

B. "Earnings" consist of dividends and interest, less fees to
manage the fund.

C. In the administration of the powers to determine earnings,
to make and retain investments, and to delegate investment
management of institutional funds, the Board of Investors shall
exercise ordinary business care and prudence under the facts and
circumstances prevailing at the time of the action or decision. In
so doing, the Board of Investors shall consider:

1. Long- and short-term needs of the trust fund in carrying out
its purposes;

1 2. ~~The present and anticipated financial requirements for~~
2 ~~programs funded by the Board of Directors of the Tobacco Settlement~~
3 ~~Endowment Trust Fund;~~

4 ~~3.~~ Expected total return on its investments;

5 ~~4.~~ 3. Price level and inflation trends; and

6 ~~5.~~ 4. General economic conditions.

7 SECTION 6. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 1-105d.1 of Title 63, unless
9 there is created a duplication in numbering, reads as follows:

10 A. There is hereby created in the State Treasury a revolving
11 fund for the State Department of Health to be designated the "TSET
12 Legacy Effort Revolving Fund". The fund shall be a continuing fund,
13 not subject to fiscal year limitations, and shall consist of all
14 monies directed to the fund by law. All monies accruing to the
15 credit of said fund are hereby appropriated and may be budgeted and
16 expended by the State Department of Health as provided in subsection
17 B of this section. Expenditures from said fund shall be made upon
18 warrants issued by the State Treasurer against claims filed as
19 prescribed by law with the Director of the Office of Management and
20 Enterprise Services for approval and payment.

21 B. 1. The State Department of Health shall utilize the funds
22 of the TSET Legacy Effort Revolving Fund to fund Legacy Effort
23 Grants;

1 2. Eligibility for Legacy Effort Grants shall be limited to
2 private, nonprofit, and public entities who were receiving a grant
3 award from the Tobacco Settlement Endowment Trust during the 2025
4 calendar year;

5 3. The selection and awarding of grants, whether in the form of
6 professional service contracts or any other funding mechanism
7 developed by the State Department of Health, awarded pursuant to the
8 grant program developed under this subsection, shall be exempt from
9 the requirements of the Oklahoma Central Purchasing Act;

10 4. The State Department of Health shall develop competitive
11 processes for awarding Legacy Effort Grants under this subsection;

12 5. The terms of any request for proposals, request for
13 applications, invitations for bid, bid notice, grant proposal, or
14 any other solicitation issued by the State Department of Health to
15 solicit or invite applications, proposals, bids, or responses to
16 obtain funding under the Legacy Effort Grants program developed
17 under this subsection shall be confidential until the date and time
18 at which the solicitation is to be made equally and uniformly known
19 to all prospective applicants and the public, at which point all
20 such documents and information shall be uniformly known to all
21 prospective applicants and the public, and shall be subject to the
22 Oklahoma Open Records Act and Oklahoma Open Meetings Act. Any
23 application, proposal, bid, or any other document to obtain funding
24 responsive to any solicitation of the State Department of Health

1 under the Legacy Effort Grants program developed under this
2 subsection shall be confidential until the date and time of award of
3 the grant or contract, at which point all such documents and
4 information shall be subject to the Oklahoma Open Records Act and
5 Oklahoma Open Meeting Act. Any unsolicited application, proposal,
6 bid, or any other document to obtain funding shall not be considered
7 confidential and shall be subject to the Oklahoma Open Records Act
8 and Oklahoma Open Meeting Act at all times; and

9 6. The total cost of Legacy Effort Grant awards shall not
10 exceed the monies available in the TSET Legacy Effort Revolving
11 Fund, created in section A of this section.

12 C. The State Department of Health may promulgate rules as
13 required to implement the provisions of this section.

14 SECTION 7. REPEALER 62 O.S. 2021, Sections 2308, 2309,
15 and 2310, are hereby repealed.

16 SECTION 8. This act shall become effective only upon the
17 adoption by the People of Oklahoma of the State Question created
18 pursuant to Enrolled HJR 1077 of the Second Session of the 60th
19 Oklahoma Legislature.

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